AS

ECONOMICS

7135/2

Paper 2 – The National Economy in a Global Context

Practice Paper 2 (Advanced)

Mark scheme

Practice mark scheme (in the style of June 2024)

This mark scheme follows the same structure and principles as the AQA June 2024 mark scheme for AS Economics Paper 2 (7135/2). It is intended for use with the matching practice question paper.

Level of response marking instructions

For extended-answer (10 and 25 mark) questions, examiners should use the level-of-response grids shown for each question. Start at the lowest level and use it as a ladder until the answer matches the descriptor for a level. Apply a best-fit approach where an answer covers different aspects of different levels.

Section A – Key list

The following list indicates the correct answers used in marking students' responses.

Q	Answer
1	**B** (a widening positive output gap and rising demand-pull inflation.)
2	**C** (Imports of goods and services)
3	**B** (2.0)
4	**B** (worsen the current account balance.)
5	**A** (increase the supply of money in the economy and raise asset prices.)
6	**B** (the persistence of high unemployment after the cause has passed, due to skills atrophy.)
7	**A** (1%)
8	**A** (a surplus on the financial and capital accounts of £80 billion.)
9	**B** (It suggests that in the short run, lower unemployment may be associated with higher inflation.)
10	**B** (contractionary fiscal policy and expansionary supply-side policy.)

Q	Answer
11	**B** (an attempt to save more in aggregate may reduce total saving by lowering national income.)
12	**D** (a deficit of £20 billion.)
13	**B** (a leftward shift of SRAS.)
14	**B** (Output in the long run depends only on the productive capacity of the economy)
15	**D** (rising business investment.)
16	**C** (changes in Bank Rate may take 12-24 months to fully affect inflation.)
17	**A** (increased government borrowing raises interest rates and reduces private sector investment.)
18	**C** (Rising wage inflation and skill shortages)
19	**B** (does not account for income distribution or non-market activity.)
20	**B** (raise Bank Rate to dampen future inflationary pressure.)

Distribution of answers: A: 5 | B: 9 | C: 4 | D: 2

Levels of response grid – 25 mark questions

Level / Marks	Descriptor
Level 5 **21–25 marks**	Sound, focused analysis and well-supported evaluation that: is well organised; shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors; includes good application of relevant economic principles to the given context; well-focused analysis with clear, logical chains of reasoning; supported evaluation throughout and in a final conclusion.
Level 4 **16–20 marks**	Sound, focused analysis and some supported evaluation; well organised; sound knowledge and understanding; some good application and use of data; some well-focused analysis with clear logical chains of reasoning; some reasonable, supported evaluation.
Level 3 **11–15 marks**	Some reasonable analysis but generally unsupported evaluation; focuses on relevant issues; satisfactory knowledge and understanding; reasonable application; reasonable analysis but may not be adequately developed; fairly superficial evaluation.
Level 2 **6–10 marks**	Fairly weak response with some understanding; some limited knowledge; limited application; limited analysis that may lack focus; attempted evaluation that is weak and unsupported.
Level 1 **1–5 marks**	Very weak response; little relevant knowledge and understanding; very weak application; attempted analysis is weak and unsupported.

Levels of response grid – 10 mark questions

Level / Marks	Descriptor
Level 3 **8–10 marks**	Well organised; develops one or more key issues; sound knowledge and understanding; good application; well-focused analysis with clear logical chain; may include a relevant diagram.
Level 2 **4–7 marks**	Issues relevant to the question; reasonable knowledge and understanding (with some weaknesses); reasonable application; reasonable analysis but may not be adequately developed; may include a relevant diagram.
Level 1 **1–3 marks**	Very brief and/or lacks coherence; limited knowledge with likely errors; very limited application; weak analysis lacking focus.

Section B – Context 1

THE UK COST-OF-LIVING CRISIS

Question 2 1 Define 'CPI inflation' (Extract A, line 1).

[3 marks]

Level	Response	Max
1	A full and precise definition is given.	3 marks
2	The substantive content of the definition is correct, but there may be some imprecision.	2 marks
3	Some fragmented points are made.	1 mark

Examples worth 3 marks:

• The sustained rise in the general price level of consumer goods and services, measured by the Consumer Prices Index over a 12-month period.

• The annual percentage change in a basket of representative consumer goods and services prices weighted by household expenditure patterns.

Examples worth 2 marks:

• A measure of how much consumer prices have risen over a year.

• The rate at which the average price of goods and services is rising.

Examples worth 1 mark:

• Inflation.

• Rising prices.

Question 2 2 A household has a weekly food budget of £145. Food price inflation over a 12-month period was 19.2%.

Calculate the additional weekly amount this household must spend to maintain the same level of food consumption, to the nearest pound (£).

[4 marks]

Calculation:

£145 × 0.192 = £27.84 per week
= £28 to the nearest pound.

Response	Marks
£28 (correct answer)	4 marks
£27.84 (not nearest £); £27 (rounded wrong way); 28 (missing units)	3 marks
Correct method but incorrect rate used; new total cost £172.84 stated	2 marks
Method stated correctly without final calculation; 27.84 without units	1 mark

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Question 2 3 Use Extract A to identify two significant points of comparison between CPI inflation and core CPI inflation over the period shown.

[4 marks]

Award up to **2 marks for each** significant point of comparison made.

Response	Marks
Identifies a significant point of comparison; accurate use of data; unit of measurement given accurately.	2 marks
Identifies a significant point of comparison but only one piece of data is given when two are needed; or no/wrong unit; or wrong date. OR identifies a significant feature of one data series with accurate data but no comparison is made.	1 mark

If more than two significant points of comparison are identified, reward the best two.

Significant points include:

• Headline CPI inflation peaked at 11.1% in October 2022, whereas core CPI inflation peaked later at 7.1% in May 2023 - a difference of approximately 7 months.

• Headline CPI was more volatile, rising from 0.7% in January 2021 to 11.1% in October 2022 (a 10.4 percentage point swing), whereas core CPI rose from 1.4% to 7.1% over a similar period (a 5.7 percentage point swing).

• By December 2023, headline CPI had fallen back to 4.0%, below core CPI at 5.1%, reversing the earlier pattern where headline was significantly above core.

• In January 2021, core CPI (1.4%) was higher than headline CPI (0.7%), but for most of the period 2022 onwards, headline was above core, before they crossed again by December 2023.

Question 2 4 Extract B (lines 4-5) refers to wholesale gas prices rising more than fourfold.

Draw an AD/AS diagram to show the most likely macroeconomic effect of a sharp rise in commodity prices.

[4 marks]

Correct diagram: AD/AS showing a LEFTWARD shift of SRAS (SRAS■ to SRAS■) caused by higher commodity prices. New equilibrium has a higher price level (P■ > P■) and lower real output (Y■ < Y■). All axes, curves and coordinates labelled.

Response	Marks
Accurately drawn AD/AS diagram showing the correct shift, with original equilibrium (P■Y■) and new equilibrium (P■Y■); both axes, all curves and coordinates labelled.	4 marks
Accurately drawn diagram with the correct shift but one label/coordinate missing.	3 marks
Accurately drawn diagram with the correct shift but two or more labels/coordinates missing.	2 marks
Accurately drawn AD/AS diagram showing initial equilibrium with both axes, both original curves and both original coordinates (P■Y■) labelled, but no shift.	1 mark

Notes: Horizontal axis labels accepted: ‘Real GDP’, ‘Real output’, ‘Output’, ‘Y’, ‘RNO’, ‘NI’, ‘National output’. Do not reward ‘Quantity’ or ‘Q’. Vertical axis labels accepted: ‘Price Level’, ‘PL’, ‘Inflation’, ‘£’. Do not reward ‘Price’ or ‘P’.

Question 2 5 Extract C (lines 9-10) refers to the risk of a wage-price spiral.

Explain how a wage-price spiral may develop in an economy.

[10 marks]

Apply the 10-mark levels grid above.

Relevant issues include:

• Definition of wage-price spiral - process where rising wages and rising prices reinforce each other

• Initial price shock leads workers to demand higher wages to maintain real purchasing power

• Higher wages raise firms' costs of production, shifting SRAS leftward

• Firms pass on higher costs in higher prices, further raising inflation

• Workers respond by demanding further wage increases, perpetuating the cycle

• Role of inflation expectations - if workers expect inflation, they bake it into wage demands

• Labour market conditions - tight labour markets (low unemployment, high vacancies as in Extract B) increase workers' bargaining power

• Use of Extract B data: vacancies at record highs, average weekly earnings peaking at 7.8%

• Role of indexation, multi-year wage agreements

• AD/AS diagram showing repeated leftward shifts of SRAS would support analysis

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Question 2 6 Extract B (lines 7-8) states that the Monetary Policy Committee raised Bank Rate from 0.1% to 5.25%.

Use the extracts and your knowledge of economics to evaluate the view that tight monetary policy is the most appropriate response to high inflation caused by supply-side shocks.

[25 marks]

Apply the 25-mark levels of response grid above. The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate’s response.

Areas for discussion include:

• Meaning of tight monetary policy (high Bank Rate, QT, etc.) and supply-side shocks

• How higher Bank Rate reduces AD via consumption, investment, exchange rate channels

• Diagrammatic analysis: leftward AD shift, lower price level, lower output

• Evaluation: monetary policy targets demand but supply shocks shift SRAS - mismatch

• Risk of overtightening - causing unnecessary recession

• Time lags (12-24 months) - by the time effects feed through, shocks may have reversed

• Importance of anchoring inflation expectations (Extract C: risk of wage-price spiral)

• Alternative: targeted fiscal support (Extract C: £70bn cost-of-living payments)

• Alternative: supply-side measures to boost productive capacity

• Distributional impacts: high interest rates hurt mortgage holders disproportionately

- Credibility of the central bank and the cost of disinflation
- International coordination - other central banks tightening simultaneously
- Overall judgement based on evidence and trade-offs

Section B – Context 2

THE UK BALANCE OF PAYMENTS AND EXCHANGE RATE

Question 2 7 Define 'current account' of the balance of payments (Extract D).

[3 marks]

Level	Response	Max
1	A full and precise definition is given.	3 marks
2	The substantive content of the definition is correct, but there may be some imprecision.	2 marks
3	Some fragmented points are made.	1 mark

Examples worth 3 marks:

• A record of a country's trade in goods and services, primary income (e.g. wages, profits, interest) and secondary income (e.g. transfers) with the rest of the world over a period of time.

• The section of the balance of payments recording transactions in goods, services, income and current transfers between residents and non-residents.

Examples worth 2 marks:

• A record of a country's exports and imports of goods and services.

• The country's trade in goods and services with other countries.

Examples worth 1 mark:

• Imports and exports.

• The balance of trade.

Question 2 8 Use Extract D to calculate the percentage change in the sterling effective exchange rate index between 2019 and 2023.

Give your answer to one decimal place.

[4 marks]

Calculation:

Change in sterling effective exchange rate index: 80.6 - 77.8 = 2.8
% change = (2.8 / 77.8) × 100 = 3.598... = 3.6% to one decimal place.

Response	Marks
3.6% (correct answer)	4 marks
3.6 (missing units); 3.60% (correct but extra decimal); 4% (wrong rounding)	3 marks
Absolute change 2.8 stated with units; method stated using wrong base year	2 marks
Correct method stated only; 2.8 without units	1 mark

Question 2 9 Use Extract D to identify two significant points of comparison between the UK's current account balance (as a % of GDP) and the sterling effective exchange rate index over the period shown.

[4 marks]

Award up to **2 marks for each** significant point of comparison made.

Response	Marks
Identifies a significant point of comparison; accurate use of data; unit of measurement given accurately.	2 marks
Identifies a significant point of comparison but only one piece of data is given when two are needed; or no/wrong unit; or wrong date. OR identifies a significant feature of one data series with accurate data but no comparison is made.	1 mark

If more than two significant points of comparison are identified, reward the best two.

Significant points include:

• The current account deficit was widest as a % of GDP in 2022 at -3.8%, the same year the sterling exchange rate index was at its lowest point of 77.1.

• Between 2020 and 2021, the current account deficit narrowed (-2.5% to -1.8% of GDP) while sterling appreciated (78.4 to 80.2 index points), suggesting an inverse relationship.

• By 2023, the current account deficit had narrowed to -3.1% of GDP while sterling reached its peak in the period at 80.6 - both indicators improved together.

• The current account showed greater volatility (-1.8% to -3.8% of GDP) than the exchange rate index (77.1 to 80.6).

Question 3 0 Extract F (lines 4-5) refers to sterling depreciating sharply in 2022.

Draw an AD/AS diagram to show the most likely short-run effect of a depreciation of sterling on the UK macroeconomy.

[4 marks]

Correct diagram: AD/AS showing depreciation causing a LEFTWARD shift in SRAS (due to higher imported input costs) and/or a RIGHTWARD shift in AD (due to higher net exports as exports become cheaper). Either interpretation acceptable provided it is consistent and fully labelled. The most common response is leftward SRAS shift showing imported cost-push inflation. All axes, curves and equilibrium coordinates labelled.

Response	Marks
Accurately drawn AD/AS diagram showing the correct shift, with original equilibrium (P■Y■) and new equilibrium (P■Y■); both axes, all curves and coordinates labelled.	4 marks
Accurately drawn diagram with the correct shift but one label/coordinate missing.	3 marks
Accurately drawn diagram with the correct shift but two or more labels/coordinates missing.	2 marks
Accurately drawn AD/AS diagram showing initial equilibrium with both axes, both original curves and both original coordinates (P■Y■) labelled, but no shift.	1 mark

Notes: Horizontal axis labels accepted: ‘Real GDP’, ‘Real output’, ‘Output’, ‘Y’, ‘RNO’, ‘NI’, ‘National output’. Do not reward ‘Quantity’ or ‘Q’. Vertical axis labels accepted: ‘Price Level’, ‘PL’, ‘Inflation’, ‘£’. Do not reward ‘Price’ or ‘P’.

Question 3 1 Extract F (line 1) states that a depreciation of sterling can improve the current account by making exports cheaper and imports dearer.

Explain how a depreciation of the exchange rate may improve a country's current account balance.

[10 marks]

Apply the 10-mark levels grid above.

Relevant issues include:

- Definition of depreciation, exchange rate, current account
- Effect on export prices: exports become cheaper in foreign currency terms
- Effect on import prices: imports become more expensive in domestic currency terms
- Demand effects: higher export volume, lower import volume
- Marshall-Lerner condition: improvement requires $|PEDx| + |PEDm| > 1$
- J-curve effect: short-run deterioration as volumes are slow to adjust
- Time lags: contracts, search costs, brand loyalty
- Effect on the value of exports and imports in domestic currency
- Supply-side considerations: domestic firms' use of imported inputs
- AD/AS diagram showing rightward shift of AD as a result of higher net exports could support analysis

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Question 3 2 Extract F (lines 7-8) suggests that long-term improvement in the UK's external balance requires supply-side policies.

Use the extracts and your knowledge of economics to assess the view that supply-side policies are more effective than exchange rate depreciation in correcting a persistent current account deficit.

[25 marks]

Apply the 25-mark levels of response grid above. The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate’s response.

Areas for discussion include:

- Meaning of supply-side policies and exchange rate depreciation
- Supply-side policies that raise productivity and competitiveness - education, R&D;, infrastructure
- How supply-side policies improve non-price competitiveness (quality, innovation, branding)
- How exchange rate depreciation improves price competitiveness
- Marshall-Lerner condition and J-curve as constraints on exchange rate adjustment
- Risk of imported inflation from depreciation - undermining competitiveness gains
- Persistence of the UK deficit since 1983 suggests deeper structural issues (Extract E)
- Brexit-related changes to UK-EU trade (Extract E)
- Time lags for supply-side policies (years/decades)
- Reliance on capital inflows to finance the deficit (Extract F)

- Currency interventions vs market-determined exchange rates
- Composition of the current account: UK strength in services vs weakness in goods
- Evaluation of whether supply-side or exchange rate is more effective in the long run
- Overall judgement supported by extract evidence

END OF MARK SCHEME